

Master of Business Administration

Financial & Managerial Accounting

Topic 0 : Opening Remarks

- 1.Key Areas of Accounting & Finance
- 2.Role of These Areas in an MBA Program
- 3.Key Learning Objectives
- 4.Course Prerequisites
- 5.Lessons from Past Experience



1. Key Areas of Accounting & Finance

The field of Accounting & Finance encompasses five major specializations, each serving a distinct purpose in organizational decision-making and financial management.

Understanding how these areas relate to one another is essential before diving into course content.

Financial Accounting & Reporting (FAR)

Recording transactions and preparing financial statements

Audit, Assurance & Advisory (AAA)

Independent examination and professional advisory services

Management Accounting (MA)

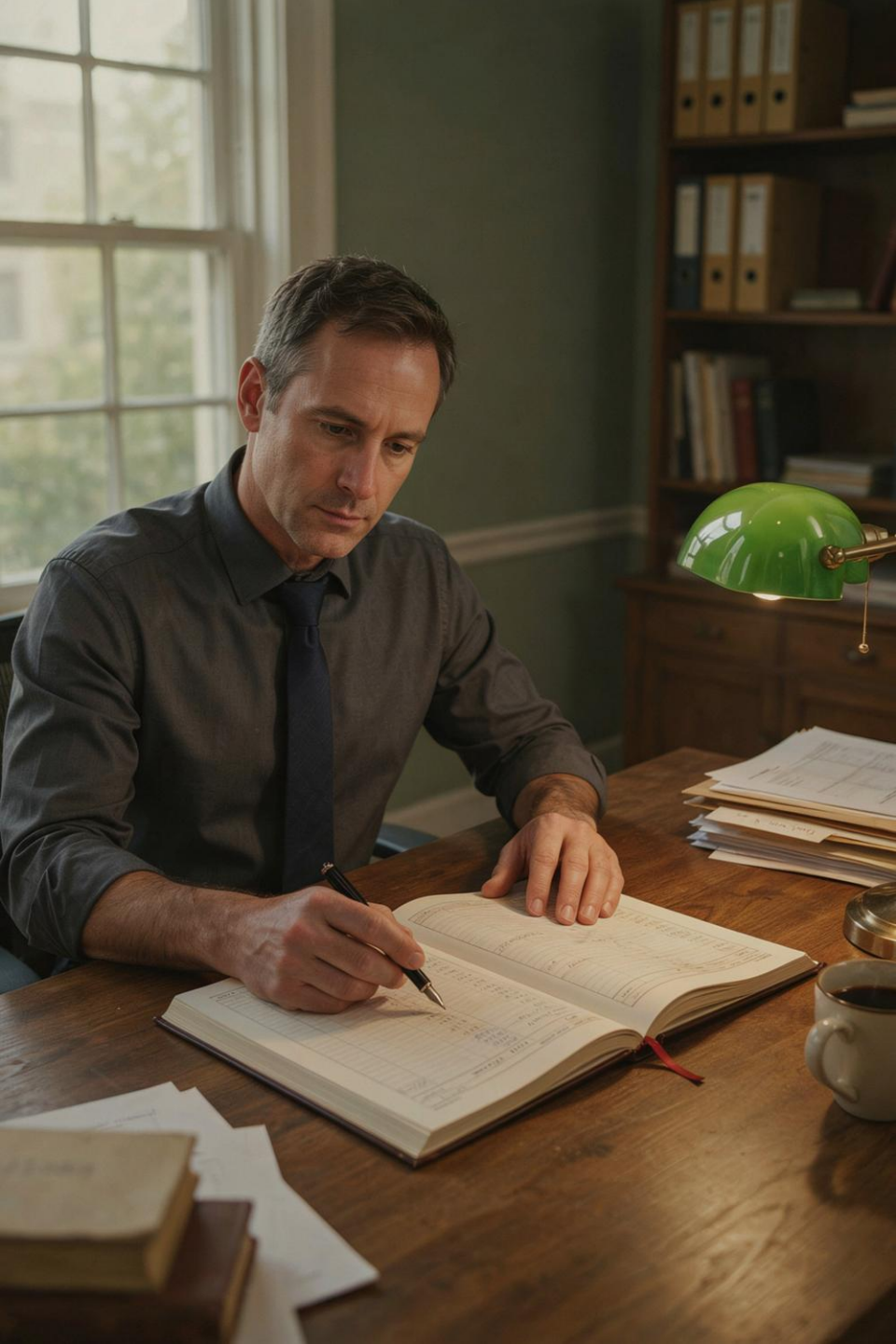
Internal cost and revenue analysis for management decisions

Tax

Advising on tax obligations, compliance, and planning

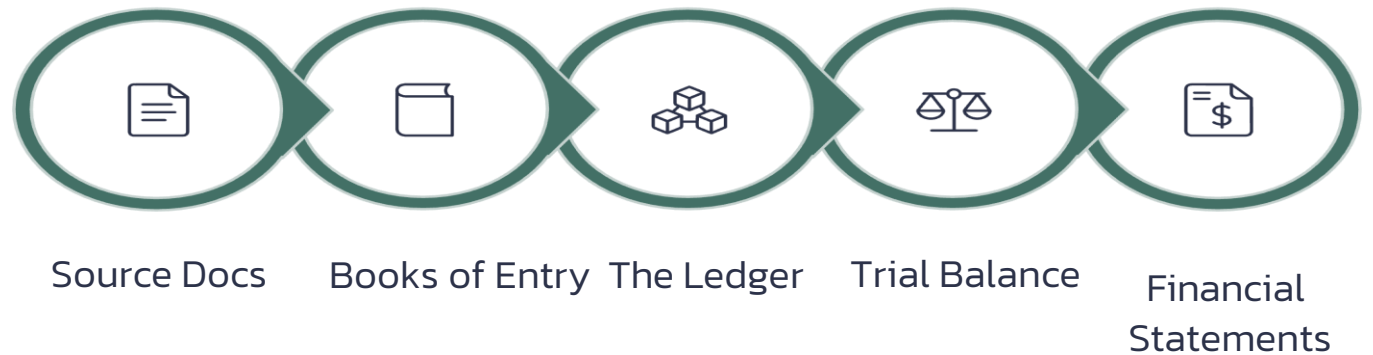
Financial Management (FM)

Raising finance and managing long- and short-term resources



1.1 Financial Accounting & Reporting (FAR)

FAR is concerned with keeping a record of financial transactions and preparing financial statements from those records. The process follows a structured five-step flow:



Each step builds on the previous: **Source Documents** provide evidence of transactions; **Books of Prime Entry** summarize that information; **The Ledger** records detailed accounts using debits and credits; **The Trial Balance** lists account balances; and finally, **Financial Statements** are prepared for users of accounting information.

1.2 Audit, Assurance & Advisory (AAA)

These three related but distinct professional services are often grouped together. Understanding the differences is critical for any accounting professional.

Concept	Meaning	Examples
Audit	A systematic, independent examination of financial statements, records, or systems to obtain evidence and express an opinion against established criteria.	External audit of annual financial statements; government financial audits; compliance audits for tax or regulatory requirements.
Assurance	A professional service where an independent practitioner evaluates subject matter against suitable criteria to enhance confidence of intended users. Audit is one type of assurance engagement.	Assurance on financial statements; limited assurance on ESG/sustainability reports; assurance on greenhouse-gas emissions data.
Advisory	Provides advice, analysis, and recommendations to help organizations improve performance, manage risks, or make better decisions. Does not result in an independent assurance opinion.	M&A transaction advisory; risk management consulting; forensic audits; business restructuring; tax planning; internal audit improvements.

1.3 Management Accounting & 1.4 Tax

Management Accounting (MA)

MA records information about **revenue** (resources received from key operations) and **costs** (resources used up) to aid management decisions. Core applications include:

- Costing products (goods and services)
- Establishing the breakeven point
- Preparing budgets and carrying out variance analysis
- Making strategic decisions
- Performance management

Tax

Tax combines financial accounting and tax laws/regulations to advise organizations and individuals on a wide range of tax matters:

- Whether one is taxable or tax-exempt
- Records required for tax purposes
- Type of tax, estimated amount, and payment dates
- Filing returns
- Tax offences, penalties, and fines
- Tax disputes and resolution mechanisms
- Tax planning and management

1.5 Financial Management (FM)

Financial Management ranks at the senior level of Accounting & Finance, equivalent to the **CFO role**, with a focus on raising finance for the acquisition of resources and supporting operations. Key areas include:



Strategic **Financial** Management

Long-term financial planning aligned with organizational goals.



Sources of Finance & Financial Markets

Identifying and accessing equity, debt, and hybrid financing options.



Capital Budgeting

Acquisition of long-term resources through investment appraisal.



Working Capital Management

Acquisition and management of short-term resources.



Dividends, Investments & Risk

Dividend decisions, portfolio management, and financial risk management.



Corporate Governance

Prudent use of resources and accountability to stakeholders.

2. How These Specializations Fit in the MBA Program

Not all five specializations are covered equally within the MBA curriculum. Here is how they are structured across the program:

Financial & Managerial Accounting (FMA)

Financial Reporting (FAR) and Management Accounting (MA) have been combined and are referred to as **Financial & Managerial Accounting (FMA)** — the subject of this course.

Audit, Assurance, Advisory & Tax

These areas are not formally covered in the MBA program. However, relevant matters are discussed within the FMA course where they intersect with financial reporting and accounting practice.

Financial Management (FM)

FM concepts are covered in the next **Module/Trimester**. Students will encounter topics such as capital budgeting, working capital, and financial risk management in that subsequent course.

- ❏ This course FMA, is your foundation. Mastering FAR and MA here will directly support your success in Financial Management next trimester as well as financial acumen in a business context

3.1 Key Learning Objectives: Financial Accounting & Reporting

Core Outcomes

The primary skill developed in FAR is the ability to work with financial statements end-to-end:

1. Prepare financial statements given a set of transactions
2. Analyze Financial Statements
 - 2.1 Perform **Absolute Analysis** — analyzing actual figures
 - 2.3 Perform **Relative Analysis** — using standardized figures and ratios
 - 2.3 Carry out **Trend Analysis** — comparing performance over time
 - 2.4 Carry out **Cross-Sectional Analysis** — comparing companies in the same industry
 - 2.5 Prepare **Forecast Financial Statements** given certain ratios or growth rates

Other FAR Outcomes

Beyond the core, students will also be able to:

- Explain accounting, its nature, and its justification
- Discuss the two main objectives of accounting information
- Describe the accounting equation and its components
- Identify the users of accounting information
- Explain the accounting process and how transactions are recorded
- Discuss the regulation of the accounting profession
- Discuss components of an annual report of an agribusiness
- Apply financial statements analysis: what, why, sources, steps, tools, and application

3.2 Key Learning Objectives: Management Accounting

Core Outcomes

1. Establish the cost of products (goods and services) and estimate their prices
2. Compute breakeven levels sales in \$ and units to report no profit or loss
3. Prepare budgets and explain the causes of variances (difference between actual and budget)
4. Explain the application of management accounting in strategic decisions
5. Carry out performance management
6. Discuss current issues in FAR and MA

Other MA Outcomes

- Explain the nature and importance of management accounting
- Explain the various types of costs and how they are classified
- Discuss the concept of break-even, its assumptions and limitations
- Explain the budgeting process, roles, benefits, and types of budgets
- Advise on decision areas: product mix, outsourcing, shutdown, and special orders/jobs
- Explain issues regarding performance measurement and evaluation
- Address current issues: Big Data Analytics, IT applications, innovations, and ethics

4. Course Prerequisites

To succeed in this course, students are expected to bring a baseline of knowledge and skills from prior study or experience. These are not advanced requirements, but they are important foundations:



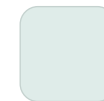
Basic Mathematics

Especially **algebra and statistical concepts**. You will encounter equations, ratios, percentages, and basic statistical measures throughout the course. Comfort with numbers is essential.



Basic Accounting Concepts & Terminologies

A foundational understanding of accounting language of debits, credits, assets, liabilities, equity is expected. **These will be reviewed again** at the start of the course for those who need a refresher.



Computer Application Software

Basic proficiency in **Microsoft Office**, specifically Word, PowerPoint, and Excel is required. Excel will be used extensively for in-class applications and assignments, though it is not required for CATs or Exams.

5.1 How the Course Is Delivered

Based on years of teaching experience, the following delivery model has proven most effective for student success in FMA:

1

Detailed Notes Provided

The teacher provides comprehensive notes, normally in the form of PowerPoint slides. In class, summaries are used to increase efficiency in content coverage.

2

In-Class Application Questions

Application questions are done in class, and cases are used to enhance understanding of concepts. Most questions are done in Excel for efficiency but Excel is **NOT** required for CATs and Exams.

3

Active Student Participation

Students are expected to participate actively in class. Passive attendance is not sufficient engagement with questions and discussions is a core part of the learning experience.

4

Advance Note Sharing

The teacher will share notes in advance. It is strongly advisable to go through them before class in order to learn more effectively and follow along with greater confidence.

5.2 Out-of-Class Expectations

Syndicate Discussions

Where necessary, cases will be assigned involving syndicate (group) discussions. These collaborative exercises deepen understanding of complex concepts.

Individual & Group Assignments

Both individual and syndicate assignments will be given throughout the course. These are designed to reinforce learning and develop practical skills.

Daily Revision — At Least 2 Hours

Experience shows that students must revise for **at least 2 hours per day**. The reason: FMA involves a large volume of accounting and finance terminologies that require repeated exposure to internalize.



5.3 Strategies for Success

These are lessons drawn directly from years of student experience in this course. Students who follow these principles consistently perform better.

→ Focus on Knowledge, Not Just Assessments

Always bear in mind the Key Learning Outcomes. Understanding the material deeply will naturally lead to better performance in CATs and Exams not the other way around.

→ Read the Detailed Notes

Due to limited class time, it may be difficult to cover all concepts in class. It is therefore **strongly advisable to read the detailed notes** provided. Class summaries are a supplement, not a substitute.

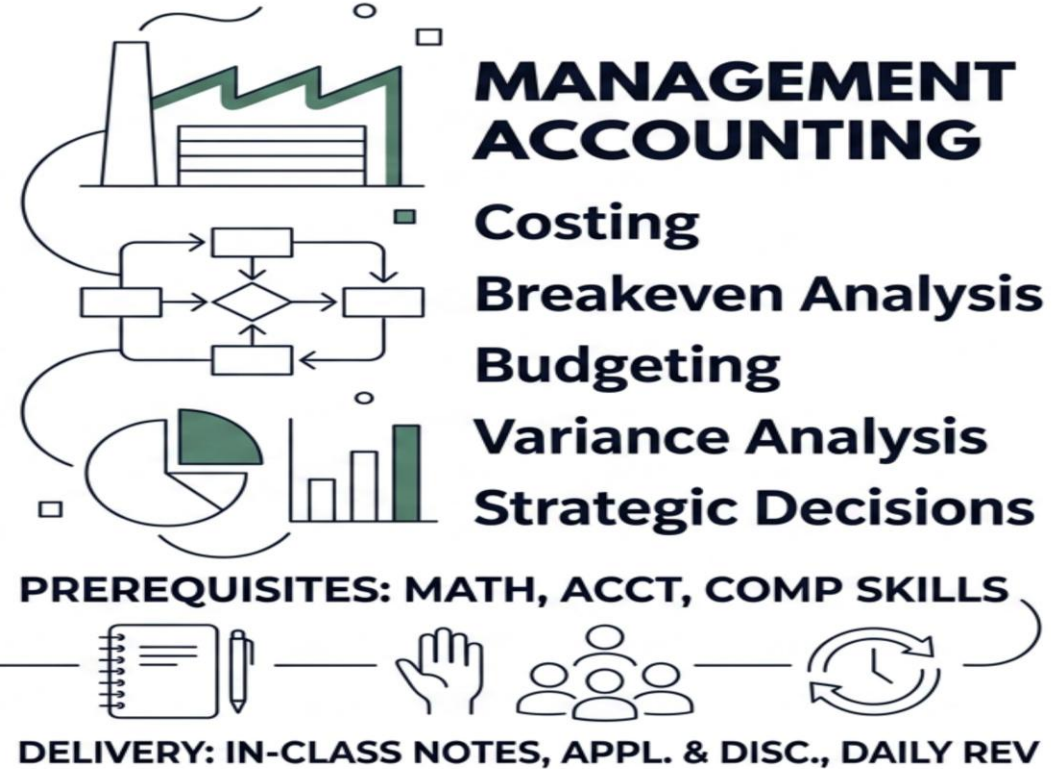
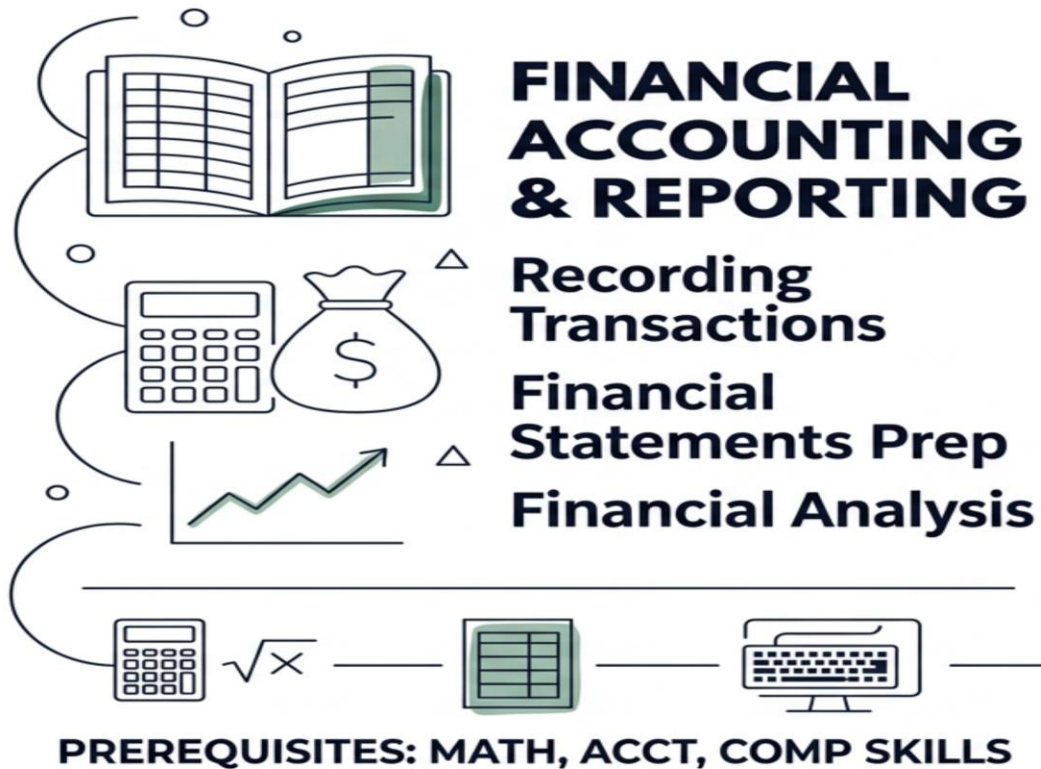
→ Start Hard from Day One

Last-minute preparation for CATs and the Exam has been **depressing for the majority of students**. FMA requires more effort and time compared to other courses. Do not underestimate it.

→ Personal Housekeeping

Aim to attend all classes and be on time. In class, **take charge of proceedings** so you are not left behind when colleagues are working through questions. If you miss a class, immediately check what was covered to stay up to date.

Course at a Glance: FMA Summary



FMA is a foundational MBA course that integrates two major disciplines. FAR equips students to record, report, and analyze financial information, while MA equips them to use cost and revenue data for internal decision-making. Together, they form the bedrock of financial literacy for any business leader.

Let's Get Started

FMA is demanding but deeply rewarding. The knowledge you build here will serve you throughout your MBA and your career.



Read Ahead

Review notes before each class to maximize learning



Revise Daily

At least 2 hours per day — consistency is everything



Participate Actively

Take charge in class — don't be a passive observer



Focus on Mastery

Knowledge first — results will follow

The approach for FMA is that it is a Finance
for Non-Finance Business Managers!

